Mumbai) with ‘a wife next to him and an appointment letter in his pocket, but nowhere to live.’[35]

Parekh had also all along been advocating the need for a national housing policy. The year 1988 was an eventful year in the field of policy initiatives with the formal adoption of a National Housing Policy Document, the publication of the report on the National Commission on Urbanization, and the creation of a National Housing Bank (NHB)—a wholly owned subsidiary of the RBI—as the apex bank in the field of housing. The basic objective of policy was what Parekh had been suggesting all along: ‘To create an enabling environment by eliminating constraints and developing an efficient and accessible system for the delivery of inputs to maximize housing efforts.’ The creation of NHB indicated the importance placed by the government on the emerging housing finance network and its future growth. The main objective of the NHB was to become ‘the principal agency to promote housing finance institutions and provide financial and other support to them.’ There was also the realization in government circles that housing finance would need to be integrated into the financial system as a whole if it was to assume the proportions that would be required to finance projected needs.

In 1989–90, HDFC’s cumulative loan approvals crossed the ₹2,000 crores mark and loan disbursements ₹1,500 crores for nearly 4 lakh units all over India. HDFC’s annual requirements of funds now exceeded ₹500 crores. In order to sustain its high growth rate, HDFC decided on a fresh equity issue, both public and rights, which would increase its share capital from ₹20 crores to ₹45 crores. HDFC’s basic philosophy of ‘learning by doing’ had paid rich dividends. HDFC had over the past decade charted the course for the development of a workable and rapidly expanding housing finance network. Its lending norms became the industry standard and it helped promote new institutions and train their managerial staff. It also sought and obtained amendments of corporate law and tax legislation to make housing finance a more feasible proposition in the Indian context.

By the early 1990s, new institutions had been established to serve the increasingly sophisticated financial needs of commerce and trade—lease finance, merchant banking services, mutual funds, venture capital, and credit rating agencies. The Discount and Finance House of India was established to create secondary markets for monetary instruments and